

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-14

AIRBOSS DEFENSE GROUP, LLC,
COMPLAINANT,

v.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC., *et al.*,
RESPONDENTS.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC.'S
REPLY IN SUPPORT OF MOTION TO DISMISS

I. INTRODUCTION

ADG seeks to pursue claims against FTN in this proceeding that it has previously released as part of a settlement of a prior lawsuit between the parties. Pursuant to that settlement, FTN agreed to release its liens on ADG's goods and to settle outstanding freight and insurance charges totaling more than \$15 million for a payment of \$5 million. In exchange, ADG agreed to accept full responsibility for payment of all non-freight charges relating to the 571 containers of gloves transported for ADG by FTN – including pass-through storage, detention, demurrage, chassis, container, per diem, and drayage charges assessed by third parties – and to release FTN from all claims arising in connection with the transactions giving rise to the freight and non-freight charges.

FTN performed its obligations under the settlement agreement by releasing its liens on ADG's cargo and accepting ADG's \$5 million payment as settlement of the \$15 million in freight and insurance charges owed by ADG. However, having received the benefit of the settlement agreement – a \$10 million discount of freight charges owed to FTN and the release of FTN's liens on ADG's cargo – ADG failed to live up to its obligation to take full responsibility for non-freight

charges relating to ADG's cargo. As a result, third parties asserted claims against FTN for those charges and FTN was forced to sue ADG for breach of the settlement agreement in August 2023 (hereinafter, the "Maryland Action").

ADG filed the complaint in this proceeding more than a year and a half after it executed the settlement agreement and release with FTN and seven months after FTN filed its complaint for breach of the settlement agreement, but studiously failed to mention the release of claims contained in its settlement with FTN.¹ FTN's motion to dismiss ADG's complaint in this proceeding is based on ADG's release of all of its claims against FTN. In its opposition brief (hereinafter, "ADG Opposition"), ADG argues that the Commission should ignore the release and require the parties to fully litigate the Shipping Act claims raised in ADG's complaint. Citing the "first-to-file" rule, ADG argues that the Court adjudicating the breach of settlement agreement case should determine whether the release is valid and enforceable – *i.e.*, whether ADG in fact *has* any non-released Shipping Act claims in the first place. Requiring the parties to litigate claims before the Commission that may be later be determined by the Court to be released would be a wasteful expenditure of the time and resources of the Commission and the parties, and is not, in any event, necessary.

The release language in the settlement agreement between FTN and ADG is clear and unequivocal. It covers all past, present, and future claims arising in connection with the ADG shipments transported by FTN.² There is no exclusion or exception in the release for Shipping Act claims, and as set forth in FTN's motion to dismiss, ADG is undoubtedly entitled to release any

¹ While ADG suggests – without further explanation – that some of its Shipping Act claims involve events subsequent to the execution of the settlement agreement with FTN, it cannot deny that some of its claims involve actions and events preceding its settlement with FTN. Moreover, all of ADG's Shipping Act claims arise in connection with and are governed by transactions covered by the release of claims in ADG's settlement agreement with FTN.

² Notably, ADG does not – and cannot – deny that it entered into the settlement agreement with FTN that released all claims relating to the 571 containers of gloves that are the subject of ADG's complaint.

claim for reparations under the Shipping Act.³ The only exception to the broad language releasing all claims against FTN is for claims constituting a breach of the settlement agreement itself. The Commission is clearly capable of interpreting the release language and determining whether the claims asserted in ADG's complaint come within the terms and scope of the release.

ADG argues that it wishes to contest the enforceability of its settlement agreement and release with FTN in the Maryland Action while simultaneously litigating Shipping Act claims that clearly come within the scope of the release and thus will likely eventually be determined by the Maryland Court to be released. However, the pursuit of parallel proceedings involving the same facts, transactions and parties would not only be inefficient and burdensome but would also create the risk of inconsistent rulings on identical issues of fact and law. As ADG concedes, the allegations and issues underlying ADG's Complaint before the Commission are the same allegations and issues that ADG intends to assert as defenses to FTN's breach of contract claim in the Maryland Action. Accordingly, if the Commission determines not to grant FTN's motion to dismiss, it should stay the proceedings before the Commission under the "first-to-file" rule cited by ADG until the Maryland Court determines whether the settlement agreement and release is enforceable.

II. ADG HAS FAILED TO STATE A CLAIM UPON WHICH RELIEF CAN BE GRANTED

ADG initially argues in its Opposition that FTN has not disputed that ADG's complaint alleges facts sufficient to state a claim under the Shipping Act. ADG Opposition at 5. However, FTN's motion to dismiss is not challenging whether ADG has technically alleged facts sufficient

³ See FTN Motion at 4-5. If a complainant could not agree to a binding, enforceable release of claims arising under the Shipping Act, disputes arising under the Shipping Act could not be settled. As the Commission is aware, claims under the Shipping Act are routinely settled and released by the parties during the Commission's CADRS mediation process and otherwise. Moreover, the Commission has repeatedly stated a strong policy encouraging resolution of disputes by settlement.

to state a Shipping Act claim. The crux of FTN's motion is whether ADG has stated a claim *upon which relief can be granted*. Perforce, relief cannot be granted on a claim that has been previously released by the party asserting the claim – whether that claim is properly pled or not. *See, e.g., Stamps v. University of Texas System*, No. 23-CV-01520-JKP, 2024 WL 2194856 (W.D Tex May 15, 2024) (granting Rule 12(b)(6) motion based on prior release of claims in settlement agreement). As set forth in FTN's motion, ADG has released FTN from all claims arising out of or in any way relating to the transactions giving rise to freight and non-freight charges in connection with the 571 containers of gloves transported by FTN for ADG. All the claims and allegations stated in ADG's complaint in this proceeding arise out of and relate to the very same 571 containers of gloves. Whether addressed under Rule 12(b)(6) or alternatively as a motion for summary decision, ADG has not stated a claim upon which relief cannot be granted.

ADG further argues that the Commission should simply ignore the release and allow this case to proceed to decision because ADG purportedly intends to challenge the enforceability of its settlement agreement with FTN in the Maryland Action. ADG Opposition at 6. As a preliminary matter, ADG's assertion that it intends to challenge the enforceability of the FTN-ADG settlement agreement in the Maryland Action should be viewed with more than a little skepticism. ADG never challenged or questioned the enforceability of the FTN-ADG settlement agreement until it filed its Answer in the Maryland Action – 16 months after the settlement agreement was signed. Moreover, ADG has never articulated a specific factual basis for challenging the enforceability of the FTN-ADG settlement agreement.⁴

⁴ ADG's Answer in the Maryland Action merely asserts stock, conclusory affirmative defenses with no underlying factual support. Similarly, ADG's complaint in this proceeding does not allege any facts sufficient to support its assertion that the FTN-ADG settlement agreement is unenforceable.

More to the point, ADG's suggestion that its bare assertion that it intends to challenge the enforceability of the release in another proceeding is a sufficient basis to simply ignore the release altogether and press forward with parallel and duplicative litigation is without foundation. The very purpose of a release of claims is finality – to spare the released party from the expense and disruption of having to litigate the released claims. If a release can be defeated – and a released party can be forced to litigate the released claims – by the mere assertion that the releasor intends to challenge the enforceability of the release in another proceeding, every release would be meaningless and binding settlements of disputed claims would be impossible.

III. THE COMMISSION CAN AND SHOULD CONSIDER THE RELEASE PROVISION IN THE FTN-ADG SETTLEMENT AGREEMENT IN DECIDING FTN'S MOTION TO DISMISS

ADG's complaint contains allegations relating to certain terms of the settlement between FTN and ADG but neither mentions the release of claims that is an integral part of that settlement nor attaches the written and signed FTN-ADG settlement agreement. *See* Complaint at ¶ 23. FTN attached to its motion a copy of the FTN-ADG settlement agreement referenced in the ADG complaint and requested that the Commission consider the release provision in the FTN-ADG settlement agreement in deciding the motion to dismiss.⁵ Based on *Santa Fe Discount Cruise Parking, Inc., et al. v. The Board of Trustees of the Galveston Wharves, et al.*, Docket No. 14-06 (ALJ, Nov. 21, 2014), the Commission may treat the FTN-ADG settlement agreement as part of the complaint for the purposes of ruling on FTN's Rule 12(b)(6) motion to dismiss.

⁵ ADG has objected to the Commission's consideration of the FTN-ADG settlement agreement on a variety of technical grounds, including that FTN did not file a statement of undisputed material facts in support of FTN's request in the alternative that the Commission convert the motion to dismiss to one of summary decision if the Commission declined to dismiss the ADG complaint under Rule 12(b)(6). A corrected copy of the fully executed FTN-ADG settlement agreement is attached to FTN's Statement of Material Facts Not in Dispute filed herewith along with a supporting declaration.

ADG argues that the *Sante Fe* decision does not apply here because (1) while ADG alleged certain selected *terms* of the FTN-ADG settlement agreement, it carefully avoided mentioning the *agreement* itself, and (2) the FTN-ADG settlement agreement is not “integral” to ADG’s complaint.⁶ ADG Opposition at 6-7. ADG is wrong on both accounts. ADG cannot prevent the Commission from considering the entire FTN-ADG settlement agreement – including the release provision – by selectively including in its complaint allegations regarding only those terms of the agreement it deems favorable while studiously avoiding mention of terms of the agreement it would prefer the Commission not consider. Indeed, the very purpose of the *Sante Fe* rule would appear to be to prevent just such selective pleading from hindering the Commission from considering the entirety of an agreement alleged in the Complaint in ruling on a Rule 12(b)(6) motion.

Second, ADG’s assertion that the FTN-ADG settlement agreement is not integral to its complaint is belied by the allegations of the complaint itself. ADG clearly considered the FTN-ADG settlement agreement sufficiently relevant and necessary to its claims to allege not only certain terms of the agreement but also FTN’s performance or lack thereof under the agreement. *See* Complaint at ¶¶ 24-25. Moreover, a fair reading of ADG’s complaint makes clear that ADG is alleging that FTN’s actions both in connection with entering into the FTN-ADG settlement agreement and in performing under that agreement constituted unreasonable practices under the Shipping Act. *See, e.g.,* Complaint at ¶¶ 30-31. In addition, the release provision of the FTN-ADG settlement agreement is clearly integral to ADG’s complaint because it bears directly on whether ADG has viable Shipping Act claim upon which relief can be granted.

⁶ Notably, ADG does not deny that the existence of the FTN-ADG settlement agreement or that it includes the release provision upon which FTN’s motion to dismiss is based.

Finally, should the Commission decline to consider the release provision in connection with FTN's Rule 12(b)(6) motion, FTN respectfully requests that it convert FTN's motion to dismiss to a motion for summary decision. FTN has filed with this Reply a corrected (fully executed) copy of the FTN-ADG settlement agreement along with the Statement of Material Facts Not in Dispute required by Paragraph 17 of the Initial Order in this proceeding.

IV. THE FACT THAT ADG IS ASSERTING SHIPPING ACT CLAIMS IS NOT A LEGITIMATE BASIS FOR NULLIFYING THE RELEASE OF CLAIMS EXECUTED BY ADG

Having received the benefit of the FTN-ADG settlement agreement – including a \$10 million reduction in freight charges and the release of FTN's liens on ADG's cargo – ADG is now seeking to assert in this proceeding the very same claims it settled and released in the FTN-ADG settlement agreement. ADG appears to argue that because the claims it settled and released in the FTN-ADG settlement agreement were Shipping Act claims based on allegedly unreasonable rates and/or liens by FTN, any settlement or release of those claims is somehow a nullity. However, ADG provides no support for its apparent assertion that settlement or release of Shipping Act claims is impermissible, voidable or against public policy.⁷ As discussed above and in FTN's Motion, Shipping Act claims, like all other disputed private claims, are controlled by the party asserting them and can be – and routinely are – settled both before litigation and after litigation has been commenced. *See* FTN Motion at 4-6. Indeed, the Commission has a strong policy of encouraging settlement of Shipping Act claims and offers its own CADRS mediation service for

⁷ ADG asks that it be permitted to take discovery and brief the alleged Shipping Act violations that render the FTN-ADG settlement agreement unenforceable if the Commission decides to consider the release. *See* ADG Opposition at 10. But ADG does not anywhere explain why or how the Shipping Act claims it has alleged in the complaint would be a basis to nullify the FTN-ADG settlement agreement and release – much less why discovery relating to those is necessary. The question of whether Shipping Act claims are *per se* unenforceable is a question of law, not fact, that the Commission can determine on a motion to dismiss. As discussed herein, ADG has cited no precedent holding that settlements and releases of Shipping Act claims are *per se* unenforceable.

that very purpose. *See, e.g., Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002); *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978).

Finally, ADG suggests that the Commission in *Lisa Anne Cornell, et al. v. Princess Cruise Lines, Ltd. (Corp.), et al.*, Docket No. 13-02 (ALJ July 23, 2013) refused to enforce a release of Shipping Act claims because it violated public policy. However, ADG misconstrues the decision in *Cornell*. The release in *Cornell* covered claims against the respondent cruise lines arising in connection with and during a particular cruise attended by Complainant Cornell in February 2007. Cornell later asserted claims against the cruise lines contending that the cruise lines refused to deal with her for *subsequent* cruises in violation of the Shipping Act. The cruise lines argued that the parties intended that the prior release would cover any and all future Shipping Act claims including any claims arising in connection with any subsequent cruises.

The Commission addressed and rejected the cruise lines' reliance on the release – not because it violated public policy – but because by its own terms, the release was limited to claims arising in connection with the 2007 cruise. *See Cornell* at 42 (concluding “that [the] intentions of the parties when they signed the Mutual Release did not include waiving, releasing, or discharging the Cornells' claims against Respondents for violations of the Shipping Act occurring after the parties signed the Mutual Release”). Unlike the facts in *Cornell*, all of ADG's claims alleged in its complaint arise out of and are related to the 571 containers of ADG's cargo and are specifically covered by the express terms of the release provision in the FTN-ADG settlement agreement.⁸

⁸ ADG's citation to, and apparent reliance on, two FMC decisions relating to the imposition of liens on cargo is misplaced and beside the point for two reasons. *See* ADG Opposition at 10-11. First, FTN's liens on ADG's cargo were released pursuant to the FTN-ADG settlement agreement and any claims ADG may have had relating to those liens were released pursuant to the settlement. Second, neither decision deals with the imposition of a general lien on cargo authorized by a contractual lien provision.

V. IF THE COMMISSION DOES NOT DISMISS THE COMPLAINT BASED ON THE RELEASE PROVISION, IT SHOULD STAY THIS PROCEEDING UNDER THE FIRST-TO-FILE RULE

ADG argues that the Commission should defer consideration and application of the release provision in the FTN-ADG settlement agreement to the Court in the Maryland Action under the “first-to-file” rule. ADG Opposition at 8. ADG notes that a strong preference to avoid duplicative litigation underlies the “first-to-file” rule, but in almost the next breath urges the Commission to nevertheless allow this action to proceed in parallel with the Maryland Action – even though any decision by the Commission could be rendered moot if the Maryland Court later decides that the release provision applies to ADG’s Shipping Act claims. ADG’s position stands the first-to-file rule on its head. ADG filed this proceeding well after the Maryland Action was filed. To avoid duplicative litigation and the possibility of inconsistent rulings, the application of the first-to-file rule favors a stay of this proceeding until the Maryland Court rules on the key common issues – most particularly the scope and applicability of the release provision to ADG’s claims against FTN. Accordingly, if the Commission determines not to dismiss the complaint against FTN, FTN respectfully suggests that the Commission stay this proceeding under the first-to-file rule.

VI. CONCLUSION

For all of the foregoing reasons, FTN respectfully requests that the Commission grant FTN’s motion to dismiss the Complaint against FTN herein, or in the alternative, treat FTN’s motion as one for summary decision and grant summary decision.

Respectfully submitted,



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Dated: July 19, 2024

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 19th day of July, 2024.



David K. Monroe